

Europe, the market turned bullish. Graham tackled securities with the same intellectual curiosity he had displayed in school. Corporate information in that preregulatory era was scarce. Investors in stocks were not truly investors; they were speculators betting on trends. Graham was different.

Almost from the first, he took to analyzing securities on the basis of their asset value, though obtaining information required considerable sleuthing. One early success was Guggenheim Exploration Company, which, as Graham divined, owned a collection of valuable mining stocks underappreciated by Wall Street. By 1916, the 22-year-old Graham, still on salary at Newburger, was also managing investments for one of his professors. Many of Graham's investments were arbitrages such as Guggenheim—objectively a bargain. This led him to feel secure. Alas, in the fall of 1916, stocks entered a prolonged decline. Despite his mother's example, Graham had purchased on margin. He was forced to sell at a loss and spent two painful years recouping the professor's capital.

Such cycles recurred throughout his career; indeed, they recur to this day. Graham grasped, at a remarkably young age, the cardinal distinction between investment and speculation, but even for him, good times loosened the strings of prudence. Before he was 30, he had left Newburger to run a money management venture, Grahah Corporation. His reputation for spotting arbitrage and hedging opportunities spread quickly. One example: DuPont, which owned a controlling interest in General Motors, was selling for no more than the value of its investment in GM, thus according *no* value to its chemical business. To Graham, that was low-hanging fruit. But Wall Street to him was more than a mathematical exercise. He had a knack for stripping complicated securities to their essence. He realized early on that value does not reside in the *form* of a security, but in the